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Missing Jobs Are a Conversion Problem, Not Just a Demand Problem

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Missing Jobs Are a Conversion Problem, Not Just a Demand Problem

Paolo Belli and Dhushyanth Raju*

In many low- and middle-income countries, the missing jobs problem is typically framed as a shortfall in labor demand. Yet sustained output growth often coexists with limited durable wage employment, high informality, and weak job upgrading. This paper argues that in such settings the constraint frequently lies not in insufficient labor demand alone, but in weak job conversion, defined as the institutional and market mechanisms that determine whether potential matches between firms and workers are formed, sustained, formalized, and upgraded over time. We develop a surplus-based framework in which expected match surplus shapes vacancy posting, match durability, and investment in productivity-enhancing activities. When hiring and screening frictions, weak skill signaling, mobility barriers, regulatory misalignment, instability, or employer market power depress expected surplus, vacancy creation slows, matches are short-lived, and upgrading stalls. In equilibrium, this reduces observed labor demand and lowers the employment elasticity of growth, so that expansion generates employment without transformation. This perspective unifies missing jobs and missing better jobs within a single framework and clarifies why labor market policies underperform when they fail to address the relevant conversion constraint. Strengthening job conversion by improving matching efficiency, skill alignment, mobility, retention, and regulatory coherence complements growth-oriented reforms and increases the likelihood that output expansion translates into durable employment, rising productivity, and structural transformation.

Keywords: Job conversion; employment elasticity of growth; expected match surplus; informality; labor market frictions; match durability; structural transformation

JEL Codes: J23; J24; J62; O15; O17

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Key Messages

Missing jobs and missing better jobs reflect weak job conversion, not only insufficient labor demand. In many low- and middle-income countries, output growth and high labor force participation coexist with limited durable wage employment because potential matches do not reliably convert into stable, productivity-aligned jobs that support sustained wage growth and upgrading.

The same frictions suppress both job quantity and job quality. Hiring and screening costs, weak skill signaling, mobility barriers, regulatory misalignment, and instability reduce vacancy creation and firm scaling while also limiting match durability, wage progression, task upgrading, and improvements in working conditions.

Institutions determine whether growth translates into more jobs and better jobs. Policies that focus solely on stimulating demand or expanding training underperform when conversion mechanisms remain weak and the processes governing match formation, retention, reallocation, and formalization are not strengthened.

In many low- and middle-income countries, the problem of “missing jobs” is often framed as a shortfall in labor demand. Firms are viewed as investing too little, expanding too slowly, and hiring too cautiously. The familiar policy prescription follows: strengthen the investment climate, raise firm productivity, unlock growth, and employment will expand.

That diagnosis is not incorrect, but it is incomplete. In many settings, output growth occurs without reliably translating into stable wage employment or sustained improvements in job quality. Periods of economic expansion often coexist with modest measured unemployment and high labor force participation, while informality remains widespread, separation rates are elevated, and many jobs are short-duration and low-productivity. Employment exists, but durable, productivity-supported wage relationships remain limited. If insufficient labor demand were the sole binding constraint, sustained output growth would be expected to generate more consistent vacancy creation, longer-lasting matches, and wage growth aligned with productivity.

When output expands but match durability, formalization, and wage progression do not, the transmission from growth to employment is weak, suggesting a complementary diagnosis: the problem is not only missing jobs, but weak job conversion. By job conversion, we mean the extent to which potential matches between firms and workers are formed, sustained, formalized, and upgraded into durable, productivity-supported employment relationships. Conversion is not simply about placing workers into jobs; it encompasses match formation, match survival, and the progression of tasks, wages, and working conditions over time.

Where conversion is weak, latent hiring demand and abundant labor do not translate into stable and upgraded matches. Firms post fewer vacancies, scale more slowly, and underinvest in training and worker-specific human capital. Formalization stalls, labor reallocation toward higher-productivity firms and sectors is muted, and wage growth conditional on employment remains

limited. Short-lived employment relationships reduce the continuation value of matches, dampening incentives for investment and slowing productivity growth. The same frictions that constrain job creation also suppress job quality and task upgrading.

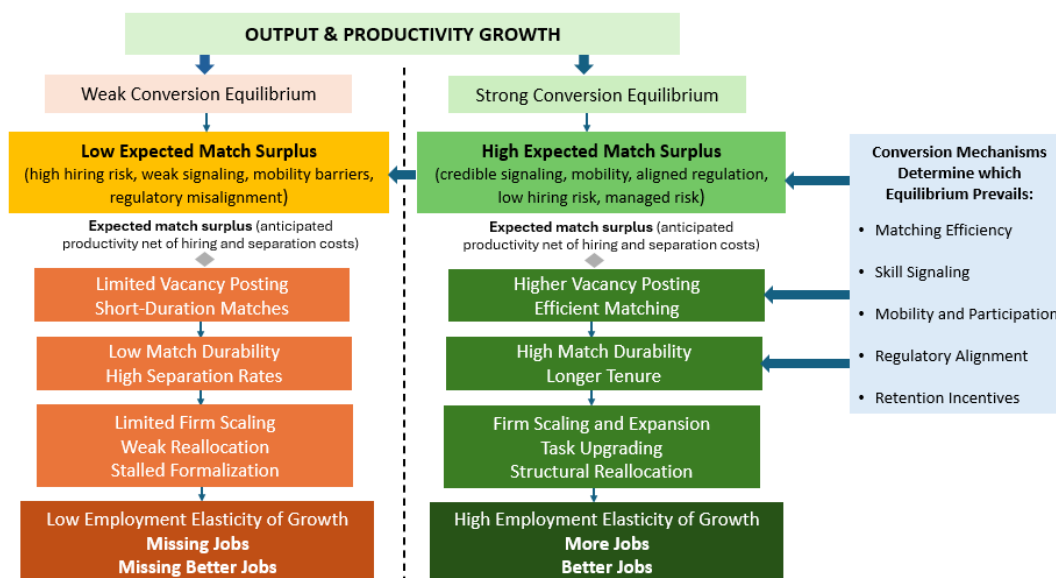
This perspective does not deny the importance of labor demand. In demand-deficient downturns, aggregate stimulus may be necessary to revive hiring. Rather, once minimum macroeconomic and investment conditions are in place, the mechanisms that govern match formation, retention, and upgrading determine whether growth translates into more jobs and better jobs. Conversion failures are proximate institutional and market frictions, shaped by deeper structural features, that influence vacancy posting, match durability, firm scaling, and structural transformation.

Strengthening job conversion therefore complements growth-oriented reforms. It raises the employment elasticity of growth by increasing the probability that output expansion leads to durable, productivity-aligned employment relationships rather than short-duration or informal work. When conversion mechanisms function effectively, growth is more likely to generate sustained improvements in wages, working conditions, and labor reallocation toward higher-productivity activities.

Figure 1 below summarizes the job conversion framework developed in this paper and clarifies how weak conversion gives rise to both missing jobs and missing better jobs. At the center of the framework is expected match surplus, which shapes vacancy posting, match durability, and upgrading. When conversion mechanisms are strong, growth translates into durable, productivity-aligned employment relationships. When they are weak, vacancy creation slows, matches are short-lived, and upgrading stalls, so that output expansion generates employment without transformation.

Figure 1. Job Conversion and the Employment Elasticity of Growth

How Weak Conversion Produces Missing Jobs and Missing Better Jobs



Source: Authors' elaboration.

From Labor Abundance to Effective Job Conversion

Development economics has long distinguished between surplus labor and employable labor. What matters for sustained job creation is not simply the number of individuals willing to work, but the availability of workers who can be productively and reliably employed by firms. In the dual economy framework developed by Lewis, labor can remain underutilized even when it is abundant because its effective productivity in modern-sector employment is limited (Lewis 1954). The constraint is therefore not the absolute supply of labor, but the capacity of the economy to transform available labor into productive and durable employment relationships.

Viewed through this lens, jobs can be missing even when firms report expansion plans or latent hiring demand. Better jobs can also be missing even when employment exists. The relevant constraint is the labor market's capacity to convert available workers and vacancies into durable, productivity-supported matches. By effective jobs, we mean employment relationships that are sufficiently durable and productivity-aligned to generate positive expected match surplus, justify investment by firms and workers, enable wage progression, and sustain task upgrading over time. Where this conversion process is weak, employment may remain informal, short-duration, low-paid, or disconnected from productivity growth.

In many settings, the bottleneck lies less in firms' willingness to create vacancies than in the institutional and market mechanisms that shape match formation, durability, and upgrading. When expected match surplus is depressed by weak conversion mechanisms, firms post fewer vacancies, avoid formal contracts, and underinvest in training and task upgrading. Evidence from a

randomized management intervention in India shows that improvements in managerial practices and organizational capacity increased productivity and employment growth within firms, underscoring how internal organizational frictions can constrain firm scaling and labor absorption (Bloom et al. 2013). Growth can therefore generate output without commensurate improvements in job stability, job quality, firm scaling, or structural reallocation when conversion mechanisms remain weak.

Three Conversion Failures that Suppress Job Quantity and Quality

1. Hiring and Matching Frictions Limit Job Creation and Stability

Labor markets do not clear frictionlessly. Workers must search; firms must recruit, screen, and assess candidates; and both sides face uncertainty about match productivity and duration. These are joint market frictions that affect workers' search effort and firms' recruitment and vacancy-posting decisions. In many low- and middle-income countries, these frictions are amplified by thin labor market information systems, weak or noisy credentialing signals, limited contract enforceability, and high baseline turnover that reflects short-duration or low-surplus matches.

Search-and-matching theory formalizes these mechanisms. Employment can remain below potential even when workers are willing to work and firms are willing to hire because match formation is costly and uncertain (Mortensen and Pissarides 1994). Firms post vacancies only when expected match surplus, defined as anticipated productivity net of hiring costs, separation risk, and institutional constraints, exceeds recruitment costs. When hiring risk, information asymmetries, or uncertainty reduce expected surplus, vacancy posting declines and recruitment effort contracts. Greater mismatch risk can also raise separation rates, reducing expected match duration. In equilibrium, both job creation and job stability may be suppressed even in the absence of binding wage floors or aggregate demand shortfalls.

In dual-economy settings, these frictions can sustain informality and constrain formal job creation (La Porta and Shleifer 2014), while also slowing the reallocation of labor toward higher-productivity firms and sectors (Albrecht, Navarro, and Vroman 2009). When screening is costly and contract enforcement is uncertain, firms may rely on informal arrangements or short-duration employment relationships. By shortening expected match duration, these frictions reduce the returns to scaling formal operations and investing in worker-specific human capital, limiting firm growth and productivity-enhancing structural transformation.

Matching frictions affect not only the number of jobs created but also their quality. When firms cannot reliably assess worker productivity or anticipate durable employment relationships, they limit the use of long-term contracts, reduce investment in training and firm-specific human capital, and delay task upgrading. Lower expected match durability weakens incentives to raise wages in line with productivity growth, since both parties discount the continuation value of the match. As a result, weak matching can suppress wage progression, skill accumulation, and improvements in working conditions conditional on employment.

Experimental evidence illustrates these mechanisms in practice. In Ghana, a randomized intervention that reduced recruitment and screening frictions for small firms led to higher hiring

and increased productivity without changes in product demand or capital inputs (Hardy and McCasland 2023). Because the intervention operated through hiring and information channels rather than aggregate demand expansion, the results isolate matching frictions as a binding constraint on employment and firm performance. Weak matching can therefore simultaneously depress job quantity, job stability, and productivity growth, so that missing jobs and missing better jobs reflect a common conversion failure rooted in hiring frictions.

2. Skills Constraints Undermine Productivity and Job Upgrading

Employers in many low- and middle-income countries report difficulty finding suitable workers, particularly in expanding or more technology-intensive sectors. These reports are often interpreted as evidence of insufficient education. However, the binding constraint may not be low average schooling per se, but the absence of job-relevant skills and credible signals of competence. Reported hiring difficulties do not necessarily imply aggregate skill scarcity; they may instead reflect informational frictions, task-specific mismatch, or uncertainty about worker productivity. In this framework, skills constraints matter not only for worker productivity, but because they shape expected match surplus and therefore vacancy postings, match durability, and upgrading.

Years of schooling are an imperfect proxy for the attributes firms value, including task-specific capabilities, reliability, and non-cognitive traits. When credentials are noisy or weakly trusted, firms face elevated screening costs and greater uncertainty about match productivity. Higher uncertainty reduces expected match surplus, lowering incentives to create stable, skill-intensive roles and to invest in firm-specific human capital. In equilibrium, firms may respond by limiting formal hiring, underinvesting in training, and postponing task upgrading. Improving skill signaling reduces screening uncertainty, while improving skill acquisition raises productivity conditional on matching. Both mechanisms can strengthen conversion, but they operate through distinct channels.

Experimental evidence illustrates these mechanisms. In Uganda, a randomized intervention that improved screening and signaling of non-cognitive skills altered hiring decisions and shifted workers into more productive positions without changes in aggregate labor supply (Bassi and Nansamba 2022). Although context-specific and estimated in partial equilibrium, these findings are consistent with improved signaling increasing expected match surplus by reducing screening uncertainty, thereby strengthening conversion into durable and productivity-enhancing employment.

A related issue is skills mismatch, which reflects the misallocation of human capital rather than low aggregate skill levels. Conceptually analogous to the misallocation of physical capital across firms (Hsieh and Klenow 2009), the misallocation of skills across firms, sectors, and tasks can constrain hiring in high-productivity activities and slow firm expansion (Acemoglu and Autor 2011; Deming and Silliman 2025). Weak information systems, limited labor mobility, and institutional rigidities can reinforce these mismatches. When high-productivity firms cannot attract workers whose skills align with task requirements, firm expansion is constrained, lowering aggregate productivity and slowing structural transformation. Even if aggregate schooling levels rise, job creation and upgrading may remain muted when matching is inefficient.

The mixed impacts of job training programs do not imply that skills are irrelevant. Reviews of active labor market policies in developing countries show that weak average effects often reflect poor alignment with employer demand, limited certification credibility, and missing complements such as placement services (Carranza and McKenzie 2024; McKenzie 2017). Weak impacts frequently signal that the intervention did not target the binding conversion constraint in that context. When training is demand-driven, linked to firms, and paired with credible signaling mechanisms, it can increase not only employment rates but also the probability that employment occurs in stable, productivity-enhancing roles. Skills constraints, in this sense, shape expected match surplus and durability, and thus the conversion of labor supply into sustained and upgraded jobs.

3. Risk, Mobility, and Retention Shape Who Gets Good Jobs and Who Stays in Them

Even when vacancies exist, workers may not enter or remain in employment if jobs are risky, poorly located, incompatible with care responsibilities, or characterized by volatile hours and pay. Even when posted wages appear adequate, high volatility or separation risk can deter sustained engagement. When job risk is high and non-wage participation costs are substantial, workers evaluate employment based on risk-adjusted expected earnings rather than posted wages alone. In this framework, risk and participation costs reduce expected match surplus for both workers and firms, so that net expected earnings may not justify sustained engagement, particularly in the absence of insurance or complementary supports.

This perspective also clarifies the role of social protection. By reducing income volatility, mitigating downside risk, and addressing care and health shocks, well-designed social protection systems can increase workers' willingness to enter and remain in employment relationships. In doing so, they raise the continuation value of matches and strengthen incentives for firms to invest in training and upgrading. Social protection is therefore not peripheral to the jobs agenda, but complementary to it: by lowering risk and stabilizing participation, it can enhance job conversion.

Safety concerns further shape participation and retention decisions. When commuting, public spaces, or workplaces expose workers, particularly women, to harassment, violence, or coercion, the risk-adjusted expected returns to employment decline. Elevated safety risks increase separation rates, discourage entry into certain sectors or occupations, and reduce the continuation value of matches, thereby lowering expected match surplus in affected sectors. In equilibrium, unsafe environments can suppress vacancy creation, sustain informality in vulnerable activities, and limit labor reallocation toward higher-productivity firms.

These participation decisions interact with firm behavior. When employment relationships are short-lived, firms incur repeated hiring and training costs and face lower expected returns to investments in worker-specific human capital. Higher anticipated separation reduces the continuation value of matches and therefore the expected surplus from hiring. In response, firms may offer shorter-term contracts, invest less in training, and delay task upgrading. Although mobility across firms can enhance efficient reallocation, turnover driven by instability or participation constraints reduces match-specific investment and weakens productivity growth. Elevated turnover can thus suppress both job stability and job upgrading, weakening the conversion of hiring demand into durable employment relationships.

Spatial frictions further constrain job conversion. Employment opportunities may exist within a city or region, but unreliable transport, long commutes, housing constraints, or migration barriers can render them effectively inaccessible. When mobility costs are high, workers cannot easily search across firms or relocate toward expanding sectors. In Ethiopia, randomized transport subsidies reduced search frictions and improved employment outcomes by expanding access to more stable and productive jobs (Franklin 2018). In Bangladesh, seasonal migration subsidies increased earnings and labor reallocation toward higher-productivity opportunities (Bryan, Chowdhury, and Mobarak 2014). Although context-specific and estimated in partial equilibrium, this evidence illustrates how mobility constraints limit both match formation and labor reallocation. Restricted mobility dampens job creation, slows movement toward higher-productivity firms, and reduces aggregate efficiency.

These dynamics help explain how low levels of measured unemployment can coexist with weak job stability and limited upward mobility. In frictional labor markets with high separation rates, workers may cycle through short-duration or low-productivity positions while remaining active in the labor force. Such equilibria can exhibit high participation and modest unemployment alongside limited tenure, weak wage progression, and muted structural transformation (Banerjee and Duflo 2007). When matches do not survive long enough to accumulate firm-specific human capital, productivity gains do not compound over time. Employment is observed, but durable and productivity-aligned matches remain scarce.

Regulatory Design Shapes Match Durability and Formalization

Beyond market frictions, institutional features of labor markets influence how job conversion unfolds. Labor market regulations are often introduced to address genuine market failures, including bargaining asymmetries, insurance gaps, and monopsony power. However, the design and enforcement of these rules also shape the expected surplus from formal employment relationships and therefore affect match formation, retention, and upgrading.

Labor regulations influence the transition from initial hiring to sustained employment relationships. When regulatory requirements, such as non-wage labor costs including employer social contributions and mandated benefits, dismissal procedures, or wage floors, are misaligned with the expected productivity of marginal formal matches, the surplus from formal employment is reduced. Firms may then post fewer formal vacancies, slow expansion, or rely on informal arrangements, lowering incentives to convert trial matches into durable contracts and reducing formalization. General equilibrium models show that dismissal costs and firing restrictions alter job turnover, vacancy creation, and productivity dynamics by changing the expected duration and surplus of matches (Hopenhayn and Rogerson 1993).

At the same time, regimes that do not support durable contracting can distort conversion in the opposite direction. If firms face limited incentives or obligations to retain workers, invest in match-specific capital, or internalize turnover costs, employment relationships may remain short-term and unstable. Lower expected match duration reduces incentives for training, wage progression, and task upgrading, while weaker enforcement reduces the continuation value of matches.

Regulations also shape worker incentives to remain in formal employment by influencing insurance, benefit portability, and income stability.

Evidence from structural modeling in Brazil shows that regulatory design and enforcement materially affect firm size, informality, and hiring behavior (Ulyssea 2018). When rules are misaligned with firm productivity or unevenly enforced, retention declines, reallocation slows, and productivity growth is dampened, constraining firm scaling and structural transformation. The result is fewer durable jobs and weaker job quality conditional on employment.

Why This Perspective Matters for Jobs and Job Quality

Focusing exclusively on labor demand obscures a central margin: the rate at which potential hiring translates into durable and productivity-aligned employment relationships. Institutions and frictions governing matching, screening, mobility, retention, and formalization shape this rate by influencing expected match surplus and therefore firm vacancy postings, retention decisions, and productivity outcomes.

The distinction between weak labor demand and weak job conversion is analytically useful but not separable in equilibrium. When conversion is weak, hiring becomes riskier, expected match duration shortens, and anticipated productivity net of hiring and separation costs declines. Lower expected surplus reduces incentives to post vacancies, create formal positions, or expand employment relationships, so that in equilibrium weaker conversion lowers observed labor demand itself. It therefore operates not only as a constraint on employment conditional on output growth, but also as a brake on firm entry, firm scaling, formalization, and labor reallocation toward more productive sectors and occupations.

Although a precise quantitative decomposition is not feasible with existing evidence, the persistence of informality, elevated separation rates, and documented hiring and mobility frictions in many low- and middle-income settings suggests that conversion failures are economically meaningful. When these frictions bind, they lower the employment elasticity of growth even during sustained expansion and slow transitions into more stable and productivity-enhancing employment. Output growth may therefore occur without proportional increases in durable wage employment, a pattern consistent with weak conversion mechanisms rather than purely insufficient demand.

This perspective also clarifies why many jobs policies underperform. Training programs yield limited effects when information frictions prevent firms from observing or trusting acquired skills. Wage subsidies have muted impacts when matching mechanisms are weak or when expected match duration remains short. Firm support initiatives fall short when labor market frictions prevent productive firms from scaling, reallocating labor, and upgrading tasks. In such cases, limited impacts reflect a misdiagnosis of the binding constraint rather than the ineffectiveness of the instrument itself. Without strengthening job conversion, policies that raise demand or expand training may increase output without commensurate improvements in employment durability or job quality.

The importance of job conversion is likely to intensify as economies undergo structural transformations associated with digitalization, the green transition, and population aging. These shifts alter skill requirements, job composition, geographic demand, and the distribution of risk. When matching systems, skill signaling, mobility, and retention mechanisms are weak, technological and demographic change may amplify instability rather than support upgrading and reallocation. Strengthening job conversion is therefore central not only to improving current employment outcomes, but also to ensuring that structural transformation generates durable and productivity-enhancing employment rather than expanding instability and informality.

A Policy Agenda Centered on Job Conversion and Job Upgrading

If missing jobs and missing better jobs reflect a common failure of job conversion, policy priorities shift toward strengthening the mechanisms that connect output growth to durable employment relationships, productivity growth, and labor reallocation. The objective is not only to raise hiring, but to increase expected match surplus and continuation value by reducing hiring and participation risks, improving productivity alignment, and supporting durable contracting so that employment becomes stable, productivity-aligned, and upgraded over time.

1. Reduce Spatial, Participation, and Risk Barriers

Lower transport costs, address housing constraints, expand access to childcare, elder care, and other dependent care services, strengthen the coverage, portability, and adequacy of social insurance and social assistance systems, and promote predictable scheduling. These measures raise risk-adjusted expected returns to work by reducing participation costs and income volatility. By increasing effective access to expanding firms and sectors and lowering separation risk driven by participation constraints and income volatility, these measures strengthen match formation and durability.

2. Improve Skill Signaling and Employer Alignment

Strengthen certification systems, apprenticeships, and employer-linked training to reduce screening costs and increase the credibility of skill signals while improving the alignment between training content and firm demand. Improved signaling reduces uncertainty in hiring, while demand-driven training raises productivity conditional on matching. Both mechanisms increase expected match surplus and support vacancy posting, stable contracts, and task upgrading.

3. Strengthen Match Durability

Improve contract enforceability and reduce distortions that generate excessive separation or discourage formal contracting. When rules and enforcement increase the continuation value of employment relationships, firms have stronger incentives to invest in training, productivity-enhancing technologies, and wage progression conditional on performance and tenure. Higher expected match duration raises the returns to firm-specific human capital accumulation.

4. Lower Hiring and Matching Frictions

Expand effective job matching, placement, and recruitment services that reduce information asymmetries and search costs for both firms and workers. By improving search efficiency and screening quality, well-designed intermediation services increase vacancy-filling rates and raise the quality and durability of matches.

5. Address Employer Market Power Where Relevant

Improve worker mobility and outside options so that wages and employment conditions more closely reflect productivity rather than monopsony distortions (Azar, Marinescu, and Steinbaum 2022; Manning 2003). In concentrated labor markets, policies that enhance competition or strengthen worker bargaining capacity can raise wages and improve job quality without necessarily reducing employment, particularly where wage setting reflects employer market power rather than marginal productivity. By increasing outside options, such policies can raise the surplus accruing to workers while preserving match viability.

These measures are not substitutes for growth-oriented reforms. They complement macroeconomic stability, investment climate improvements, and productivity policies by strengthening the transmission from output growth to firm entry, firm scaling, formalization, and sustained improvements in employment quality. By raising expected match surplus and continuation value, they increase the employment elasticity of growth and the likelihood that expansion generates durable employment, rising wages aligned with productivity, and structural transformation.

Rethinking the Missing Jobs Problem

The missing jobs problem is often framed as a question of quantity: how to induce firms to hire more. However, it is equally a question of conversion: which matches form, which survive, and which upgrade into durable, productivity-aligned employment relationships over time.

In many low- and middle-income countries, the binding constraint is not solely insufficient labor supply or weak aggregate demand. It is the weakness of the institutional and market mechanisms that determine whether output growth translates into durable employment relationships and structural transformation. When job conversion is weak, expected match surplus remains low and employment relationships are short-lived. Output expansion may generate employment, but that employment is more likely to be informal, unstable, or disconnected from productivity gains.

Strengthening job conversion does not replace the need for growth-oriented policies. Rather, it determines whether growth translates into rising earnings aligned with productivity, firm scaling, and sustained improvements in job quality. When conversion mechanisms are weak, growth produces output gains without proportional improvements in job stability or job quality and the employment elasticity of growth declines. With stronger conversion mechanisms, expansion can generate both output and transformation.

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ABSTRACT

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